Volt Money Case Study

Volt Money: Letting Demat Mutual Fund Holders Borrow Against Their Portfolio

Product Case Study by Sudiksha Gupta

1. Objective and Problem Statement

The goal of this case study is to let mutual fund investors who hold their units in demat form borrow against them on Volt Money. Volt Money offers fully digital loans against mutual funds (LAMF), but today it supports only non-demat mutual funds. Investors whose portfolio sits in demat are shown a tiny limit, or none at all, even when the portfolio is large.

Problem Statement: At present, neither Volt Money nor its competitor smallcase accepts demat mutual funds. Both support only non-demat mutual funds. Take Ankur: his portfolio is about ₹16 lakh, held in demat. The app shows him a limit of just ₹11,045, while the minimum loan is ₹25,000, so he cannot take a loan at all. An investor with a large portfolio is treated as ineligible only because of how his units are held, and he ends up redeeming funds or taking a costlier personal loan.

2. Observations (Market Data & Insights)

- **The eligibility gap is real:** A ₹16 lakh demat portfolio produces a ₹11,045 limit, which is under the ₹25,000 minimum loan. The user sees a dead end, not a reason. (Source: observed in-app, Ankur's case)
- **Non-demat only, on both platforms:** Volt Money and smallcase currently support only non-demat (RTA-held) mutual funds. Neither accepts demat mutual fund units yet. (Source: first-hand app observation; verify current policy before publishing)
- **Demand for LAMF is proven:** Volt Money pioneered fully digital LAMF in India and now sits inside the PhonePe app, which has 535 million+ users, against about 45 million unique mutual fund investors in India. (Source: Volt Money / PhonePe partnership announcement)

- **Cost of the alternative:** Personal loans typically cost 14% to 24% a year and credit cards 36%+, while LAMF is listed at around 9.99% p.a. (Source: Trade Brains and ThePrint, 2026 LAMF roundups)
- **Infrastructure exists, but no LAMF app uses it for demat mutual funds yet:** Depository (NSDL/CDSL) pledges are already used to lend against shares, and some broader lenders such as Bajaj Finserv say demat mutual fund units can be pledged. The pipes exist; what's missing is a fully digital LAMF journey for demat holders. (Source: lender websites; verify before publishing)
- **Add data here:** Share of mutual fund investors, or of assets, held in demat form. This number sizes the opportunity.

Company context: Volt Money is now part of DSP

- **Background:** Volt Money is a Bangalore fintech founded by Lalit Bihani, Ankit Agarwal and Bharat Lamba. It raised a $1.5 million pre-seed round in 2023 led by Titan Capital and All In Capital.
- **Acquisition:** DSP Group, already a shareholder, acquired Volt Money in a deal reported to have closed in February 2025. Volt Money now reportedly operates under DSP Finance Private Limited.
- **Why it matters for lending:** DSP Finance can act as the lender for the demat pilot itself, which shortens the partner negotiation and makes depository pledges easier to build.
- **Why it matters for strategy:** DSP benefits when investors borrow against their funds instead of redeeming them, because the money stays invested. That makes demat support a strategic priority for the parent company, not just a product feature.

(Source: IPO Central, Clay company profile. Confirm current ownership structure and lending partners on Volt Money's website before publishing.)

Voice of the user

We reviewed a sample of five recent Play Store reviews (June–September 2026; four 1-star, one 5-star). The app's overall rating is 4.4, and the sample was chosen to surface complaints, so these are signals rather than measurements.

Theme	What users reported	Reviews
Repayment and closure failures	Couldn't repay because the app wasn't working; interest still charged after closing the loan; account showing dues after repayment	2
Surprise charges	EMI date changed with no notice, then per-day interest charged; a new annual charge on accepting a higher limit	2
Limit and withdrawal freezes	Withdrawals blocked after accepting a limit increase, with no reason given	1
Unresponsive support	Complaints logged but not resolved; about a week for an email reply; no reply on WhatsApp	4

Key insights

- **The demat gap is invisible in reviews.** None of the sampled reviews mention demat funds or low limits. Users like Ankur are blocked before they become customers, so they leave quietly. This is a hidden drop-off, best measured through funnel data.
- **Servicing is the weak point.** Most complaints come after the loan: repayment, closure, limit changes and support. Demat users will get much larger limits, so the launch must fix these moments too, or bigger loans will mean bigger complaints.
- **Trust drives the decision.** Pledging a ₹16 lakh portfolio is a big step. Users who read reviews about frozen withdrawals or interest after closure will hesitate, so clear communication is part of the product.

3. Hypothesis

If Volt Money lets users pledge mutual fund units held in demat (through the depository pledge flow) and shows one combined portfolio limit across demat and non-demat holdings, more eligible investors will get a usable limit above the minimum loan, complete the journey, and borrow instead of redeeming.

4. Competitor Analysis

The direct competitor is **smallcase**. Both platforms offer fully digital LAMF, and both share the same blind spot on demat holdings.

	Volt Money	smallcase
Lending partner	Multiple lending partners (verify)	Bajaj Finance
Minimum loan	₹25,000	₹25,000
Mutual funds accepted	Non-demat only	Non-demat only
Demat mutual funds	Not supported	Not supported
Distribution	Own app plus partner apps such as PhonePe	smallcase app and broker partners

What this means:

- **Same gap on both sides:** A demat holder like Ankur gets a low or zero limit on either platform, so neither has an edge in this segment today.
- **First-mover opening:** Whichever platform supports demat mutual funds first can win these investors before the other catches up.
- **Volt Money's advantage:** It is built only around LAMF and already reaches a large audience through PhonePe, so a demat launch can scale faster than on smallcase, where lending sits next to investing. smallcase also does not offer partial unpledging, which Volt Money can use as a further differentiator.
- **Risk:** smallcase is close to broker and demat platforms, so it could add demat support quickly. Speed matters.

Sources: Public websites and 2026 LAMF app comparisons (Trade Brains, ThePrint). Policies change often, so verify before publishing.

5. Key Product Features and Prioritization

1. **Demat Mutual Fund Pledge**
    - Priority: High
    - Rationale: This removes the core blocker. Users like Ankur move from a ₹11,045 limit to a limit based on their full ₹16 lakh portfolio.
2. **Unified Portfolio View (Demat + Non-Demat)**
    - Priority: High

- Rationale: Users shouldn't have to know how their units are held. One screen shows all holdings and one total limit.

3. **Clear "Why this limit" Explanation and Nudge**
    - Priority: High
    - Rationale: When the limit is below ₹25,000, tell the user why and offer a fix, such as "Link your demat to unlock a higher limit", instead of a dead end.
4. **Flexible Minimum Loan Logic**
    - Priority: Medium
    - Rationale: Review whether the ₹25,000 minimum should stay fixed or follow the lender's cost to serve.
5. **Demat Linking via Account Aggregator or Depository Login**
    - Priority: Medium
    - Rationale: Makes fetching demat holdings quick and consent-based, with no manual entry.

6. Wireframes

Wireframes will be included for the following screens:

- **Holdings Screen:** Shows demat and non-demat funds together with a combined eligible limit.
- **Low-Limit Screen:** Replaces the dead end with a message and a "Link demat holdings" button.
- **Demat Pledge Screen:** Lets the user select demat funds, enter depository consent, and review the pledge.
- **Offer Screen:** Shows the final limit, rate and a single "Get money" button.

(Add Figma screenshots here before publishing.)

7. Success Metrics

1. **Eligible Portfolio Coverage**

- Definition: The share of a user's total mutual fund value that counts toward their limit.
- Target: Raise average coverage from the current low level to 80%+.

2. **Below-Minimum Drop-Off**
   - Definition: The percentage of users who see a limit under the minimum loan and leave.
   - Target: Reduce by 50% within two quarters.
3. **Offer-to-Disbursal Conversion**
   - Target: Improve by 20% for demat-holding users.
4. **Time to Disbursal**
   - Target: Under 10 minutes for 90% of loans, including demat pledges.
5. **Forced Liquidation Rate**
   - Target: Keep below 2%.

Targets are proposed assumptions for the case study, not company data.

8. Pitfalls and Mitigation Strategies

1. **Operational and Integration Complexity**
   - Pitfall: Pledging demat units involves the depository and the lender's systems, which can add steps and failures.
   - Mitigation: Start with one lending partner and a pilot group, and monitor failed pledges closely.
2. **Regulatory Compliance**
   - Pitfall: Pledge rules, LTV limits and disclosures for lending against securities are regulated and can change.
   - Mitigation: Work with the lending partner's compliance team and track RBI and depository updates.
   - Source: RBI guidelines on lending against securities
3. **Market Volatility and Margin Calls**

- Pitfall: Larger limits mean larger exposure if markets fall.
- Mitigation: Conservative LTV on riskier funds, early alerts, and easy part-repayment.

4. **User Trust and Consent Friction**
    - Pitfall: Giving depository access may feel risky.
    - Mitigation: Explain in simple words what is shared and that the pledge is removed on repayment.
5. **Servicing Failures at Larger Limits**
    - Pitfall: User reviews already show problems with repayment, closure, unannounced changes and slow support. Larger demat-backed limits would raise the stakes.
    - Mitigation: Stop interest and release the pledge automatically on full repayment, give 7 days' notice before any change to dates, charges or limits, show the reason for any withdrawal pause, and set a support SLA (first reply within 24 hours) for pledge and closure issues.

9. Go-To-Market (GTM) Strategy

1. **Target Audience:** Mutual fund investors who hold units in demat and have a meaningful portfolio (for example ₹5 lakh and above) but who see a low or zero limit today.
2. **Partnerships:** Work with lending partners that already support depository pledges, and with partner apps like PhonePe through the existing SDK.
3. **Marketing Channels:** Re-engage users who dropped off with a below-minimum limit using push and email ("Your limit just went up"), plus content on "borrow against your demat funds, don't redeem".
4. **Pilot Rollout:** Launch to users who previously saw a limit below ₹25,000, measure conversion and failed pledges, then expand.

10. Conclusion

The product works well for non-demat holders, but a large investor like Ankur, with about ₹16 lakh in demat, still cannot borrow. Today neither Volt Money nor smallcase accepts demat mutual funds, so these investors have no fully digital LAMF option. Supporting demat mutual funds, showing one combined limit, and explaining low limits instead of hiding them can turn these dropped users into borrowers, and give Volt Money a first-mover advantage over smallcase in the demat segment.

As part of DSP Group, Volt Money has both the lending capability and the strategic reason to move first: every investor who borrows instead of redeeming keeps assets invested.

Links

- Prototype: https://claude.ai/artifact/MQ38W9aX58X1GfQ5faJNMs
- PRD: https://flat-jar-dcf.notion.site/PRD-for-Volt-Money-3fb77c10693e80afacc8c1bc35aa55f2?source=copy_link